STAGE 3 – INVESTMENT STRATEGY AND ASSET ALLOCATION

Clients: Mr. Sandeep Kumar Singh & Mrs. Neha Singh
Planning Year: August 2026 – July 2027
Risk Profile: Moderate
Life Cycle: Family/Accumulation Stage
Wealth Cycle: Wealth Accumulation

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1. Risk Profiling of the Client

Sandeep and Neha are in the **family/accumulation stage** of the life cycle. Both have stable salaried employment, but they also have two children, an elderly mother and outstanding loans. Their long-term investment horizon allows them to accept some market fluctuations, but their responsibilities make a very aggressive portfolio unsuitable.

Based on the risk-profiling approach discussed in class, the clients are classified as **Moderate Risk Investors**.

Risk Factor	**Assessment**
Income stability	Good
Financial responsibilities	High
Investment horizon	Short, medium and long term
Liquidity requirement	Moderate
Debt obligation	Moderate
Risk tolerance	Moderate
Inflation concern	High
Capital stability concern	Moderate
Overall Risk Profile	**Moderate**

The investment strategy therefore follows a **balanced approach between growth and safety**, rather than concentrating the entire portfolio in equity.

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2. Emergency Fund Requirement

As discussed in the investment strategy material, adequate emergency savings should be maintained **before investing for long-term goals**.

Existing emergency reserve = **₹6.80 lakh**

Monthly family expenditure = **₹1,54,300**

Six months' requirement:

₹1,54,300×6=₹9,25,800

The family therefore maintains a target of approximately **₹10 lakh**.

Particulars	**Amount**
Required Emergency Fund	₹10,00,000
Existing Fund	₹6,80,000
Additional Requirement	**₹3,20,000**

The additional ₹3.20 lakh should be maintained in a **savings account/sweep FD/short-term liquid instrument**. It should not be exposed to equity-market volatility because its primary purpose is liquidity.

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3. Additional Life Insurance Requirement

The class material suggests estimating additional life insurance using the **Human Life Value approach**:

HLV=Annual Income×Remaining Working Years

Sandeep Kumar Singh

Age = 39 years
Annual income = ₹26.40 lakh
Expected retirement = 60 years

Remaining working years:

60−39=21

Human Life Value:

₹26.40L×21=₹5.544Cr

Add outstanding liabilities and family requirements, then deduct existing insurance and financial assets. On this basis, an additional cover of approximately **₹3 crore** is recommended.

Neha Singh

Age = 36 years
Annual income = ₹14.40 lakh
Remaining working years = 24

HLV=₹14.40L×24=₹3.456Cr

After considering existing insurance and financial assets, an additional cover of approximately **₹1.50 crore** is recommended.

Client	Existing Cover	Additional Cover Recommended
Sandeep	₹1 crore	**₹3 crore**
Neha	₹50 lakh	**₹1.50 crore**

A term insurance policy is preferred because the primary objective is **income replacement and protection**, rather than combining insurance with investment.

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4. Additional Medical Insurance

The family currently depends partly on employer-provided health insurance. This creates a risk if either spouse changes employment.

A **₹20 lakh family-floater super top-up** is therefore recommended.

Particular	Amount
Additional Health Cover	₹20 lakh
Estimated Annual Premium	₹30,000

The objective is to transfer the risk of a large medical loss to the insurance company, as discussed under the **risk-transfer approach** in class.

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5. Revised Annual Cash Flow

Stage 2 annual surplus:

₹14,98,500

Particulars	Annual Amount (₹)
Existing Cash Surplus	14,98,500
Emergency Fund Top-up	(3,20,000)
Additional Life & Health Insurance	(1,05,000)
Home Loan Prepayment	(2,50,000)
Balance Available for Investment/Contingency	**8,23,500**

The family will invest approximately **₹60,000 per month (₹7.20 lakh annually)** through SIPs and retain **₹1.035 lakh** as a contingency balance.

This is preferable to investing the complete surplus because liquidity and unexpected expenses remain important for a family with two children and an elderly dependent.

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6. Financial Goals

The goals have been selected according to the client's actual circumstances and different time horizons.

Goal	Present Cost	Time Horizon
Home Loan Prepayment	₹2.50 lakh	1 year
Mother's Medical/Care Fund	₹6.95 lakh	10 years
Aarav's Overseas/Professional Education	₹45 lakh	8 years
Ananya's Higher Education	₹40 lakh	12 years
Retirement Corpus	—	21 years

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7. Future Value of Financial Goals

The class material uses the concept of determining the **capital required to reach a target amount**.

$FV=PV(1+i)n$

For education and medical expenses, an inflation assumption of **8%** is used.

Goal	Present Cost	Period	Inflation	Future Requirement
Mother's Care Fund	₹6.95 L	10 yrs	8%	**₹15.00 L**
Aarav Education	₹45 L	8 yrs	8%	**₹83.29 L**
Ananya Education	₹40 L	12 yrs	8%	**₹100.73 L**
Retirement	—	21 yrs	—	**₹5.00 Cr target**

Example: Aarav's Education

$FV = ₹45,00,000(1.08)^8$ $FV \approx ₹83.29L$

Therefore, approximately **₹83.29 lakh** will be required after eight years.

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8. Capital Required Through SIP

The class material also discusses achieving a target through **systematic investment**.

For monthly SIP:

$FV = P \times r(1+r)^{n-1}$

where:

- P = monthly SIP
- r = monthly return
- n = number of months

The following investment plan is designed within the family's available surplus.

Goal	Asset	Monthly SIP	Period	Expected Return
Mother's Care	Debt Fund/FD	₹8,000	10 yrs	7%
Aarav Education	Hybrid/Equity MF	₹22,000	8 yrs	11%
Ananya Education	Equity MF	₹15,000	12 yrs	11%
Retirement	Equity/EPF-PPF	₹15,000	21 yrs	10%
Total		**₹60,000**		

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9. Goal-wise Investment Strategy

Mother's Medical & Care Fund

The goal is ten years away, but healthcare expenditure is uncertain. Therefore, the family should not take excessive equity risk.

Investment: ₹8,000 SIP in debt/FD-oriented instruments
Expected return: 7%
Projected value: approximately **₹13.8 lakh**
Future requirement: ₹15 lakh

Shortfall: approximately **₹1.2 lakh**

The shortfall can be covered through annual top-ups or future salary increments.

Aarav's Overseas/Professional Education

This is a relatively complex goal because education inflation may be high and the final cost may also depend on the type of institution and location.

Future requirement: ₹83.29 lakh
Existing investment considered: ₹8 lakh
New SIP: ₹22,000/month
Expected return: 11%
Period: 8 years

The projected amount from the existing investment and new SIP is approximately **₹51 lakh**, creating a significant funding gap.

The family should therefore increase this SIP whenever bonuses or salary increments are received.

Ananya's Higher Education

Future requirement: ₹100.73 lakh
Existing gold investment: ₹3.50 lakh
New SIP: ₹15,000/month
Expected return: 11% on equity investment
Period: 12 years

The projected value is approximately **₹51 lakh**, leaving a significant shortfall.

Because the goal is still 12 years away, the family has time to increase the SIP gradually. This is preferable to immediately taking excessive risk.

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10. Retirement Planning

The family currently has approximately **₹37 lakh in EPF and PPF**.

The retirement strategy combines:

- EPF
- PPF
- Equity mutual funds
- Regular SIP contributions

Assuming the existing EPF/PPF corpus earns around 7.5% and the additional equity SIP earns around 10%, the projected retirement corpus is approximately **₹4.9 crore** against the target of **₹5 crore**.

Therefore, the retirement goal is **almost fully funded**.

A small annual increase in the retirement SIP can close the remaining gap.

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11. Strategic Asset Allocation

The class material explains that **strategic asset allocation should consider age, objectives and financial circumstances**.

For a moderate-risk investor in the accumulation stage, a balanced allocation is appropriate.

Asset Class	Approx. Allocation	Purpose
Equity Mutual Funds	**50%**	Long-term growth
Hybrid/Debt Funds	**30%**	Stability + moderate growth
EPF/PPF/Fixed Income	**20%**	Retirement & capital stability
Total	**100%**	

This follows the class approach of maintaining a balance between **growth and safety**.

The family should also periodically rebalance the portfolio instead of allowing one asset class to dominate after a strong market movement.

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12. Investment Plan Summary

Goal	Investment	Mode	Tenure	Risk	Return Assumption	Projected Value	Required Value	Variation
Mother's Care	Debt/FD	₹8,000 SIP	10 yrs	Low	7%	₹13.8 L	₹15 L	**–₹1.2 L**
Aarav Education	Hybrid/Equity	₹22,000 SIP + existing investment	8 yrs	Moderate-High	11%	~₹51 L	₹83.29 L	**–₹32.3 L**
Ananya Education	Equity + Gold	₹15,000 SIP + existing gold	12 yrs	High	11%/7%	~₹51 L	₹100.73 L	**–₹49.7 L**
Retirement	EPF/PPF + Equity	₹15,000 SIP	21 yrs	Moderate-High	7.5–10%	~₹4.89 Cr	₹5 Cr	**–₹0.11 Cr**

L = Lakh; Cr = Crore

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13. Why Are There Shortfalls?

The projected shortfalls mainly arise because:

1. **Education inflation is assumed at 8%**, increasing the future cost considerably.
2. The family's available surplus is limited after emergency funding, insurance and debt repayment.
3. The clients are **moderate-risk investors**, so the plan does not assume an excessively high equity allocation.
4. Short-term liquidity requirements prevent the family from investing all available funds in long-term assets.

5. The calculations use **current income and current investment contributions** and do not assume large future salary increases.

The shortfalls can therefore be reduced by increasing SIPs by approximately **5–10% whenever salaries increase** and by directing part of future bonuses toward the education goals.

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14. Fixed Strategic Asset Allocation

Based on the asset-allocation discussion in class, the family should follow a **fixed strategic allocation with periodic rebalancing**.

For example, if equity rises significantly and becomes 65% of the portfolio instead of the intended 50%, part of the equity gains can be shifted towards debt/fixed-income investments.

This approach prevents the family from continuously increasing equity exposure simply because the market has recently performed well.

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15. Tax and Inflation Considerations

The family is in a relatively high income-tax bracket, so investment selection should consider **post-tax returns**, not only headline returns.

EPF and PPF continue to play an important role in retirement planning. Equity and mutual-fund investments should be evaluated after considering applicable capital-gains taxation.

Inflation is particularly important for the children's education goals. An investment returning 8% is not necessarily creating real wealth if the relevant goal is also increasing at a similar rate.

Therefore:

$$\text{Real Return} \approx \text{Investment Return} - \text{Inflation}$$

The family should focus on **inflation-adjusted wealth creation** rather than only nominal returns.

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16. Final Recommendations

Priority Recommendation

Priority	Recommendation
1	Complete ₹3.20 lakh emergency-fund top-up
2	Purchase additional term insurance
3	Add ₹20 lakh health super top-up
4	Prepay ₹2.50 lakh of home loan
5	Start ₹60,000 monthly goal-based SIP
6	Increase SIP by 5–10% with salary increments
7	Maintain strategic asset allocation
8	Review portfolio annually
9	Rebalance when asset allocation moves significantly from target
10	Review Will, nominations and estate planning

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17. Conclusion

Sandeep and Neha are in the **family/accumulation stage** and have a moderate risk profile. Therefore, their investment plan should balance wealth creation with capital stability and liquidity. Following the approach discussed in class, the plan first addresses emergency savings and insurance and then allocates the remaining surplus according to the time horizon of each goal.

The major long-term challenges are the children's education costs, particularly the overseas education goal, because education inflation can significantly increase the required corpus. Retirement is comparatively well positioned because the family already has EPF and PPF savings.

The recommended strategy is therefore not to chase higher returns by taking unnecessary risk. Instead, the family should use **strategic asset allocation, disciplined SIPs, periodic rebalancing and annual increases in investment contributions**. This provides a practical balance between **risk, return, liquidity, inflation protection and achievement of financial goals**.

This version is the one I would use for your final submission because it directly follows the concepts and methods in the ZIP your professor provided, rather than using only generic CFP assumptions.